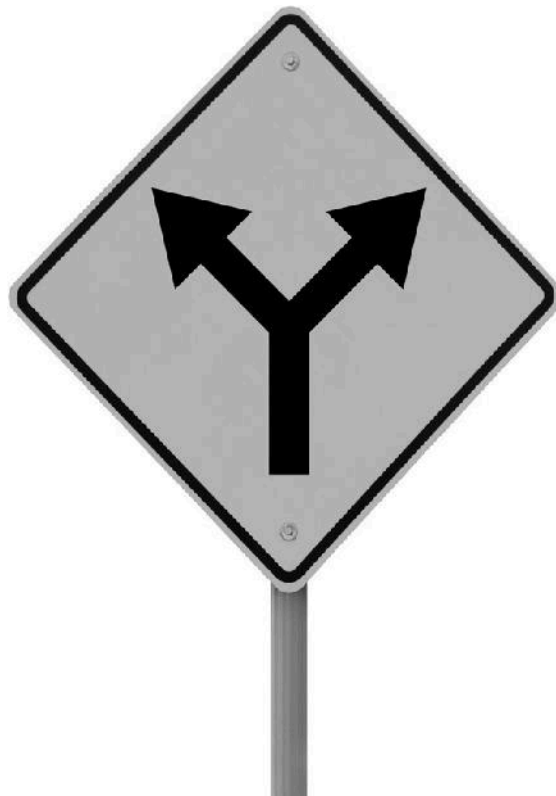


# Opportunity cost



In everyday thinking, the cost of going to a university consists of tuition fees plus the cost of food, rent and so on. Economists instead prefer to think of the true cost of choosing one option as the opportunity which had to be given up as a result: so in this example, the opportunity cost of going to university is getting a job. The biggest cost of university is likely to be the money that could have been earned, and many of the direct outlays made by a student – food and rent – would still need to be made in employment and might even cost more.

The concept of opportunity cost helps to determine if resources are being put to best use. Suppose that a firm bases its operations in a building that it owns in the centre of town. It may pay no rent for its offices, but may be giving up the opportunity of earning a large rental income by leasing out the centrally

located building and locating its staff in a cheaper suburban building.